

Regulatory Discretion and Housing Supply: Evidence from Chicago’s Aldermanic Privilege

Jacob Herbstman[†]

August 4, 2026

Abstract

Formal zoning regulations are only one part of the regulatory environment developers face. I study informal regulatory discretion in Chicago, where “aldermanic privilege” gives city council members substantial influence over development in their wards. I construct alderman-level “stringency scores” from permit processing times and use complementary event-study and boundary-discontinuity designs. Assignment to a more stringent alderman lowers high-discretion permitting activity by 12%, while multifamily density is 14–18% lower immediately across ward boundaries on the more-stringent side. I also find suggestive evidence of higher home prices and rents. Informal regulatory discretion can constrain housing supply even where formal rules are similar.

JEL Codes: R14, R31, R52

Keywords: Housing supply, land-use regulation, local political economy

[†]Harris School of Public Policy, University of Chicago. Email: jherbstman@uchicago.edu.

I thank Eric Zwick, Justin Marlowe, Joshua Gottlieb, Asad Khan, Chris Berry, Ayo George, and seminar participants at the Harris School PhD workshop, Economics Department Student Applied Micro Lunch, and the Notre Dame Housing Economics Conference for helpful comments and suggestions. I acknowledge the use of ChatGPT’s codex for assistance in writing code for data cleaning and analysis.

1 Introduction

Housing costs in the United States have risen sharply, and a large literature points to land use regulation as a central cause. Restrictive zoning, permitting frictions, and inclusionary zoning requirements limit housing supply, raise prices, and distort the allocation of labor across cities (Glaeser, Gyourko and Saks, 2005; Saiz, 2010; Turner, Haughwout and Van Der Klaauw, 2014; Hsieh and Moretti, 2019; Duranton and Puga, 2023; Soltas, 2024; Soltas and Gruber, 2026). Formal rules, however, are only one part of the regulatory environment. A small but growing body of work argues that the political environment and fragmentation of regulatory authority matter as much as the formal regulations themselves (Mayer and Somerville, 2000*a*; Hilber and Robert-Nicoud, 2013; Khan, 2021; Mast, 2024). When developers face long and unpredictable timelines, projects shrink, marginal investments become unviable, and housing supply falls (Cunningham, 2006; Bloom, 2009; Oh, Yang and Yoon, 2024). Despite this preliminary evidence, there is little empirical work on how individual politicians use these informal regulatory powers to shape housing supply.

This paper studies this informal regulatory power in the context of Chicago’s “aldermanic privilege,” the unwritten but influential power of each of Chicago’s 50 city council members (aldermen) to unilaterally block or approve development in their ward. Chicago has no city charter, so there is no statutory basis for this power (McClintock, 2025). It operates through an unspoken mutual understanding: other aldermen vote with the local member on land use matters in exchange for similar support in their own wards, city agencies follow the local alderman’s lead, and developers understand that major projects require the alderman’s blessing (Thale, 2005; Einstein, Glick and Palmer, 2019; Khan, 2021). This creates sharp changes in regulatory authority at ward boundaries, even when the neighborhood and zoning are quite similar. Two parcels on opposite sides of the same street, in the same neighborhood, with the same zoning, can face very different regulatory regimes depending on which alderman they interact with. I use this sudden change in regulatory authority to study how informal regulations affect housing supply and prices.

To measure the regulatory environment each alderman creates, I construct “regulatory stringency scores” from processing times for permits likely to involve substantial aldermanic discretion, which include new construction, renovations, and demolitions. I deem these “high-discretion” permits since they are the most likely to require aldermanic approval. The motivation for using processing time variation is simple: delay makes projects less valuable, and a developer who expects years of meetings, redesigns, and uncertainty may build a smaller project or be deterred from building at all (Kydlan and Prescott, 1982; Mayer and Somerville, 2000*a*; Paciorek, 2013; Gyourko, Hartley and Krimmel, 2021; Soltas and Gruber, 2026).

I first use the 2015 ward redistricting to test whether permitting changes when a census block is reassigned to a different ward, which isolates the keeping location fixed. Using this within-census-block variation, I find that reassignment toward greater stringency reduces the annual number of high-discretion permits recorded by the city by about 12% in the five years following the remap. This result is driven asymmetrically by movement toward more stringent aldermen, and those census blocks see a 23% reduction in high-discretion permits relative to a 6.5% rise in permits for those who move toward a more lenient alderman. A relatively precise null result for low-discretion permits shows that these effects operate through discretionary authority rather than general ward-level differences in bureaucratic efficiency.

I then look at downstream housing completions to estimate the effects of this informal regulatory discretion on realized housing supply. I employ nonparametric regression discontinuity designs at ward boundaries following Bayer, Ferreira and McMillan (2007); Kulka, Sood and Chiumenti (2026) to estimate effects on new construction density and find a 12% reduction in FAR and a 16% reduction in DUPAC on the more-stringent side of ward boundaries, with slightly larger effects for multifamily new construction.

I finally examine whether housing costs are higher in the places where the supply evidence predicts they should be. I find a sharp increase in home prices across the boundary of about

4.6%. I also find a 1.7% increase in listed rents, but the estimate is imprecise and not statistically significant. While these results are more suggestive, they are consistent with lower supply on the more stringent side of ward boundaries and suggest that the uncertainty induced by informal regulations and political actors can have direct effects on affordability.

This paper contributes most directly to work on local political control and fragmented land-use authority. Fischel (2009) argues that homeowners use local institutions to restrict development and protect property values, and subsequent work shows how decentralized jurisdictions can adopt restrictions that are locally rational but collectively costly (Hilber and Robert-Nicoud, 2013; Ortalo-Magné and Prat, 2014; Monarrez and Schönholzer, 2023; Mast, 2024; Bordeu, 2025; Kulka, Sood and Chiumenti, 2026). In Chicago, Khan (2021) finds that aldermen approve smaller rezonings near ward boundaries, while Freemark (2020) studies formal upzoning. I show that a similar coordination problem operates among representatives within one city and affects permit activity and completed construction, not only formal zoning decisions.

The paper also contributes to work on permitting delays and time-to-build. Development lags are a first-order determinant of housing supply (Mayer and Somerville, 2000*a,b*; Paciorek, 2013). Recent work finds that rules-based planning shortens construction timelines and that developers place substantial value on lots with ready-to-issue permits (Lyons and Sweeney, 2025; Soltas and Gruber, 2026). I identify individual officials as a source of delay and connect their discretion to both permit activity and completed housing density.

2 Institutional Background and Data

2.1 Aldermanic Privilege and the Development Process

Chicago’s City Council consists of 50 aldermen, each representing a single ward. Chicago’s uniquely informal norms give each alderman broad authority over development within ward boundaries. This practice, known as “aldermanic privilege” or “aldermanic prerogative,”

rests on custom rather than formal law, in part because Chicago has no city charter (McClintock, 2025). On matters affecting a single ward, other aldermen defer to the local representative, and city agencies follow the alderman’s lead (Thale, 2005; Zhang, 2011). The convention is strong enough that aldermen have often been described as “little mayors” governing their wards as personal fiefdoms (Einhorn, 1991). One alderman described the system candidly: “I often liken the City of Chicago to a feudal system, where the mayor is sort of a de facto king. And each alderman is the lord of their individual fiefdom.” (Keefe, 2013)

The formal mechanism. Two reforms narrowed this authority in 2019. A new construction code repealed a rule that had generally required the Department of Buildings to notify the local alderman of permit applications and wait ten days. Mayor Lightfoot’s Executive Order 2019-2 separately directed city departments not to defer to aldermen when municipal law did not require it. Neither reform eliminated aldermanic influence: other notification requirements remained, departments continued to solicit aldermanic input, and aldermen retained City Council authority over zoning and other legislative approvals (City of Chicago, 2019; Mayor’s Press Office, 2019; Schutz, 2019). Lightfoot captured the problem directly: “If you’ve got 50 separate fiefdoms that you have to deal with on issues like affordable housing, or just getting a sign on your building, it makes doing business with the city of Chicago damn near impossible.” (Spielman, 2019*b*) The Metropolitan Planning Council made the same point from the developer side: “before a development even gets to the point of being indefinitely delayed, many never make it past ‘Go’ because of required aldermanic letters of support.” (Metropolitan Planning Council, 2019)

How prerogative shapes development. Aldermanic discretion enters well before formal permit issuance and continues after a project is filed.

Pre-application. Experienced Chicago developers know that any project requiring rezoning, or smaller project modifications, will require obtaining the alderman’s support before formal papers are filed. While not a legal requirement, it is all but required in practice:

without the alderman’s support, a developer risks investing heavily in design, legal, and engineering work before facing rejection at the political stage. One anonymous Chicago architect described the dynamic: “To get the alderman, you have to get the neighborhood group, and that’s where the trouble comes in. It’s fraught with risk, even to have this conversation.” (Giangreco, 2024)

Rezoning. For projects requiring a change to the zoning code, the alderman’s role is effectively dispositive. Although zoning amendments formally require a City Council vote, the council “routinely shows unquestioning deference to local aldermen even in the absence of any articulated local concern” (Chase, 2023). Equally consequential is the alderman’s ability to preemptively *downzone* parcels to foreclose future development. Joseph Schwieterman, a DePaul University professor who studies Chicago land use, noted that the practice “creates real uncertainty for real estate developers when downzoning becomes ad hoc or driven by the desire of an alderman to settle scores.” (Gallun, 2019) Documented episodes include Ald. Brendan Reilly’s proposals to downzone a River North site where a developer had proposed a 60-story tower and a separate site to block a 615-room hotel, and a Pilsen downzoning orchestrated by Ald. Solis that stripped a parcel of its residential designation to kill a planned 465-unit apartment project.

Permit processing. For projects that proceed by right under existing zoning, the alderman still retains substantial informal influence over the Department of Buildings permit queue. The corruption case against Ald. Ed Burke illustrated the mechanism in an extreme form: federal prosecutors documented how his staff withheld routine permits—including a driveway permit for a fast-food restaurant—until the property owner directed legal business to Burke’s law firm (Spielman, 2019a). The case made visible what developers had long understood: in Chicago, permit timing is another lever aldermen can use to delay and suppress projects they oppose. Interviews I have conducted with a former alderman detailed substantial use of the permit process to deter developers from trying to overrule the alderman on rezoning and planning matters earlier in the process.

A recent example. Developer Fern Hill began community outreach in 2021, proposing a roughly 500-unit mixed-income tower at a transit-accessible site in the 2nd Ward, with approximately 100 affordable units and an estimated \$2.5 million in annual property tax revenue. After four years and more than ten community meetings, Ald. Brian Hopkins announced in January 2025 that he would not advance the project, citing opposition from residents of neighboring high-rises. He was explicit about the source of his authority: “Ultimately I am the decision maker on this. I’m not going to hide from that. This is a zoning decision and in Chicago we have something called aldermanic prerogative.” (Achong, 2025) Within two weeks the developer resubmitted a 349-unit proposal, cutting 151 units (30 percent) and 101 feet from the tower; Hopkins then approved it (TRD Staff, 2026). The episode captures both margins this paper studies: the approved project is smaller than what the developer proposed (intensive margin), and the four-year ordeal signals to other developers the cost of attempting large projects in wards with active aldermanic gatekeeping (extensive margin).

Federal scrutiny. In 2023, HUD concluded that aldermanic prerogative operates as a “local veto” that allows wards to block, deter, or downsize affordable housing, especially in majority-white areas (Chase, 2023); outside groups have made similar civil-rights arguments (Shriver Center on Poverty Law, 2019). The question of whether to reform or abolish aldermanic privilege remains a central issue in Chicago politics.¹

2.2 Building Permits and the Permit Process

The City’s public data contain permits recorded by the Department of Buildings since 2006. Each record reports when the application began and when the permit was issued, but inherently won’t capture any projects abandoned before they were far along enough in the process to generate a permit record. I use the universe of “high-discretion” permits from 2006-2022

¹See <https://news.wttw.com/elections/voters-guide/2023/races/city-council>, where each city council candidate was asked specifically about their stance on aldermanic prerogative.

that have valid geographic coordinates and nonnegative processing times. Online Appendix A.3 describes the separate sample used to estimate stringency scores in the event study. I divide permits into two groups based on how much aldermanic discretion they are likely to face.

High-discretion permits are permits for projects where aldermen are most likely to matter: new construction, renovation or alteration, demolition, porch construction, and reinstated permits.² These are the permit types most likely to draw community opposition and face delays due to community meetings or direct aldermanic intervention. *Low-discretion permits* are all remaining permit types outside this high-discretion group, excluding signs. I use them as a placebo comparison group because they are generally less exposed to discretionary aldermanic intervention.

High-discretion permits take longer to process and vary more across aldermen: their mean processing time is 57.3 days, compared with 26.2 days for low-discretion permits (Figure 1). Processing time is negatively associated with ward-month permit volume for high-discretion permits but weakly positively associated for low-discretion permits, consistent with the former capturing regulatory friction rather than general administrative capacity. Online Appendix Table C.3 reports the corresponding statistics.

2.3 Regulatory Stringency Scores

I construct the stringency score using permit records from 2006–2022. I first adjust processing times for observed differences across wards, locations, permits, and months, then estimate the remaining alderman-specific differences. The first stage regresses log processing time at the permit level on ward-level demographic controls (median household income, racial composition, homeownership rate, population), permit-location geographic controls (distance to CBD, lakefront proximity, CTA rail access), lagged ward-month permit volume, and fixed

²Porch construction permits have received extra scrutiny since the 2003 balcony collapse.

effects for year-month, permit type, and review type:

$$\log(\text{Processing Time}_i) = \mathbf{X}_i\beta + \gamma_{\text{ym}} + \delta_{\text{pt}} + \zeta_{\text{rt}} + \epsilon_i \quad (1)$$

where γ_{ym} are year-month fixed effects, δ_{pt} are permit-type fixed effects, and ζ_{rt} are review-type fixed effects. Online Appendix Table B.1 reports the coefficients on the first-stage controls.

The second stage averages the adjusted processing times by ward and month, then regresses those averages on alderman indicators and the same lagged ward-month permit-volume control. Ward-months are weighted by the number of permits observed:

$$\bar{\epsilon}_{wm} = \mu + \alpha_{a(w,m)} + \lambda \text{Volume}_{w,m-1} + \eta_{wm} \quad (2)$$

Here $a(w, m)$ denotes the alderman serving ward w in month m . The raw alderman fixed effects $\hat{\alpha}_a$ can be noisy for aldermen with few permits. I therefore apply empirical Bayes shrinkage (Kline, Rose and Walters, 2022, 2024) to pull imprecise estimates toward the grand mean, then standardize the final scores to have mean zero and unit standard deviation.

Online Appendix Figure B.1 maps the final stringency scores in 2014 and 2022, shows their distribution, and reports a low within-ward correlation between predecessor and successor aldermen ($\rho \approx 0.16$). The scores vary across wealthy and poor neighborhoods and across the North and South Sides, supporting an alderman-specific rather than ward-level interpretation.

2.4 New Construction Data

I construct a citywide dataset of new residential construction in Chicago between 2006 and 2022 using publicly available data from the Cook County Assessor’s Office. I combine residential improvement characteristics with commercial valuation records for properties assessed under multifamily model groups. Together, these files report dwelling units, stories, build-

ing area, and land area. I locate each project using Assessor parcel records, assign it to a ward using City of Chicago shapefiles, and define the construction date as June 15 of the recorded year built since I cannot observe an exact date. I keep projects with positive lot area, positive building area, and at least one dwelling unit.

Formal zoning is an important control, but zoning measured today may reflect changes made for the project itself. I therefore assign each project in the boundary samples to the broad zoning group in force on June 15 of its construction year. I reconstruct the zoning history from official City zoning maps from 2012, 2014, and 2016 and passed map amendments dating back to 2006. Annual Cook County parcel maps allow me to follow sites whose parcel identifiers changed over time, and I retain planned developments as a separate zoning group. The reconstruction covers every project used in the main and placebo boundary analyses and reproduces the classifications observed in later official zoning maps. Online Appendix A.4 provides additional detail.

For each project I compute two standard density measures: Floor Area Ratio (FAR), defined as total building area divided by lot area, and Dwelling Units Per Acre (DUPAC), defined as dwelling units divided by lot acreage. Distance to the nearest ward boundary is computed after projecting project locations and boundaries to the Illinois East State Plane coordinate system and is reported in feet.

Table 1 presents summary statistics. The estimation sample contains 3,692 new residential projects within 500ft of a ward boundary, including 822 classified as multifamily. I report the multifamily sample separately because aldermanic discretion is likely to matter most for larger projects. I focus on the multifamily sample and report the all-construction estimates for comparison.

2.5 Rental Listings

RentHub provides scraped rental listings. I use Chicago listings from 2014 through December 2022 and collapse repeated scrapes to one floorplan-month observation, using the median

asking rent observed that month. Rents are expressed in 2022 dollars using the monthly Chicago CPI-U.

2.6 Home Sales

Home sales come from Cook County Assessor records. I use valid market transactions of single-family homes and small multifamily buildings (2–6 units) from 2006 through 2022. Prices are expressed in 2022 dollars using the monthly Chicago CPI-U and winsorized at the 1st and 99th percentiles. Full 14-digit PINs determine location and date-specific ward assignments, and same-year Assessor records provide property characteristics.

For both the rental and home sales data, more detail on the data construction process can be found in Online Appendix A.

3 Conceptual Framework

3.1 Developer Problem

Delay makes projects less valuable. A developer who expects years of meetings, redesigns, and uncertainty may respond by building a smaller project, waiting, or walking away Kydland and Prescott (1982). The model below turns that intuition into a simple time-to-build problem.

Consider a developer choosing the scale $q \geq 0$ (units of housing) of a project on a given site. Construction costs are $C(q) = F\mathbf{1}\{q > 0\} + cq + \frac{\gamma}{2}q^2$ with $F, \gamma > 0$, so building requires a fixed cost and marginal costs rise with project size. The developer can instead leave the site unbuilt and earn zero. Let p denote the local price level, taken as given at the project level.

The local regulatory environment s maps into an *effective time-to-build* $T(s)$ with $T'(s) > 0$. The term $T(s)$ summarizes entitlement delay, redesign requirements, negotiation costs, financing frictions, and regulatory uncertainty that push expected revenue further into the

future. If revenue arrives upon project completion, the developer’s expected discounted revenue per unit is $e^{-rT(s)}p$, where r is the relevant discount or financing rate. The developer solves

$$\max_{q \geq 0} e^{-rT(s)}p q - C(q).$$

Conditional on building, the first-order condition gives $q^I(T(s), p) = (e^{-rT(s)}p - c) / \gamma$. At this scale, the project’s profit is $(e^{-rT(s)}p - c)^2 / (2\gamma) - F$. The developer therefore builds only when the project covers its fixed cost, and the optimal choice is

$$q^*(T(s), p) = \begin{cases} \frac{e^{-rT(s)}p - c}{\gamma}, & \text{if } e^{-rT(s)}p - c \geq \sqrt{2\gamma F}, \\ 0, & \text{otherwise.} \end{cases}$$

For projects that are built, $\partial q^* / \partial T(s) < 0$. Longer or more burdensome regulatory processes therefore reduce project scale and can also push marginal projects from “build” to “don’t build.”

3.2 From Developer Choices to Empirical Predictions

Aggregating across sites, total housing supply is $Q = \sum_i q_i^*$. Higher $T(s)$ reduces Q through two direct margins: projects that are built at lower density and marginal projects that are no longer built. These are the main predictions I take to the data. The flow of permits requiring aldermanic review should fall when stringency increases (Section 4.1), and sites in more stringent regulatory environments should have lower completed density (Section 4.2).

With downward-sloping demand $p'(Q) < 0$, a supply contraction can also raise housing costs. That prediction is less sharp in the data because prices may adjust over a wider geography and because rents and sale prices are observed in different datasets. I therefore treat the price comparisons in Section 4.3 as supporting evidence rather than as one of the paper’s main causal results.

3.3 Interpretation of the Stringency Score

In the model, these frictions enter through the index $rT(s)$. A higher value means revenue arrives later and is worth less today. That affects both the developer’s intensive-margin density choice and the extensive-margin decision to build or not.

The aldermanic stringency score I construct in Section 2.3 is an empirical proxy for $T(s)$. It captures alderman-specific differences in permit processing times after adjusting for observed ward characteristics. Other dimensions of regulatory friction, such as impact fees, design mandates, or community benefit requirements, would enter as additional costs in $C(\cdot)$ and reinforce the same qualitative predictions. The core idea is that longer observed processing times for permits on larger discretionary projects are a noisy but informative signal of delay that lowers density, reduces aggregate supply, and may raise prices.

4 Results

4.1 Permit Activity After Redistricting

I first ask whether permit activity changes when the same location is assigned to a different alderman. Chicago’s 2015 ward redistricting moved some census blocks toward wards represented by more stringent aldermen and others toward wards represented by more lenient aldermen. Nearby blocks that remained in their original ward provide the comparison group. The design therefore holds the physical location fixed while changing its assigned regulatory environment. The primary analysis sample keeps all boundaries where the aldermen representing both the origin and destination wards in 2014 remained in office when the new map took effect, since newly elected aldermen could have preferences toward development that are endogenous to the previous development activity in the ward. I also require each block to have at least one high-discretion permit during the five years before redistricting. Without that restriction, any later permit on a block with no previous activity would mechanically

appear as an increase.

The outcome is the number of high-discretion permits recorded on each census block in each year from 2010 through 2020. The outcome therefore measures when projects observed in the permit data first appeared in the process. These are the high-discretion permits defined in Section 2.2.

I estimate a Poisson pseudo-maximum likelihood event study that treats moves toward greater stringency and greater leniency as opposite changes:

$$\log E[Y_{bt}] = \alpha_b + \lambda_{gt} + \sum_{\tau \neq -1} \beta_\tau Z_b \mathbf{1}\{r_{bt} = \tau\}. \quad (3)$$

Here Y_{bt} is the permit count for block b in year t , α_b is a block fixed effect, and λ_{gt} is a border-pair-by-year fixed effect. Z_b equals one when the new map assigned block b toward a more stringent alderman, minus one when it assigned the block toward a more lenient alderman, and zero when the block remained in the same ward. I classify moves using the 2014 incumbents in each block’s origin and destination wards, with scores estimated only from permits filed between 2006 and 2014. I do not redefine treatment using the 2015 election winners because those elections may themselves reflect local preferences toward development. This specification imposes equal-and-opposite effects in logs for assignments toward more stringent and more lenient aldermen. Panels B and C relax that restriction by estimating the two directions separately. Online Appendix Table C.2 reports the corresponding pooled estimates without this restriction and shows the results are nearly identical. An interesting heterogeneity appears when the two directions are estimated separately: the decline in permitting activity mostly comes from movements toward more stringent aldermen, who see a 23% reduction in high-discretion permits, while blocks assigned toward more lenient aldermen see a 6.5% increase. So it appears that aldermanic discretion comes from uniquely stringent aldermen blocking activity that would otherwise have occurred, rather than uniquely lenient aldermen allowing activity that would generally be blocked under formal city regulations.

This difference is crucial for determining the likely aggregate effect of this informal regulatory discretion on housing supply, since it is ex-ante possible that informal discretion allows a few particularly pro-development aldermen to approve more housing than a centralized system. My results suggest that this is not the case and it appears that this system of informal regulations likely reduces housing supply relative to a more centralized counterfactual.

Panel A of Figure 2 plots the coefficients β_τ . The pre-period coefficients show no systematic divergence, and the pre-trend test has a p -value of 0.394. After redistricting, the estimate becomes negative. The pooled estimate is -0.127 (SE = 0.049), equivalent to an 11.9% reduction in the annual number of high-discretion permits associated with a move toward greater stringency. Panels B and C show that the decline comes from blocks assigned toward more stringent aldermen rather than a corresponding increase among blocks assigned toward more lenient aldermen. This decline in permit activity complements the building-density evidence below.

4.2 Density at Ward Boundaries

I next examine completed new construction on opposite sides of the same ward boundary. Projects within 500ft of the same boundary segment face similar neighborhood amenities and demand conditions, but different aldermen. Following Bayer, Ferreira and McMillan (2007) and Kulka, Sood and Chiumenti (2026), I divide signed distance to the boundary into 100ft bands and compare projects in each band with projects in the nearest band on the less-stringent side. This flexible specification does not require density to follow a linear or polynomial relationship with distance. I estimate

$$\begin{aligned} \ln(Y_{ist}) = & \sum_{b \in \mathcal{B}, b \neq [-100, 0)} \tau_b \mathbf{1}\{d_{is} \in b\} + X'_i \theta \\ & + \alpha_{z(i,t)} + \delta_s + \gamma_t + \varepsilon_{ist}. \end{aligned} \tag{4}$$

Here Y_{ist} is FAR or DUPAC for project i on boundary segment s , built in year t . The running variable d_{is} is negative on the less-stringent side and positive on the more-stringent side. The set $\mathcal{B}$ contains ten 100ft bands from -500 to 500 ft. The band from -100 to 0 ft is omitted, so $\tau_{[0,100)}$ compares projects immediately across the boundary. The vector X_i contains share White, share Black, median household income, bachelor’s share, and homeownership on the project’s side of the boundary. The model also includes the zoning group in force when the project was built, boundary-segment fixed effects, and construction-year fixed effects. Standard errors are clustered by ward pair.

Figure 3 plots the distance-band estimates. The omitted band is normalized to zero, and the subtitle in each panel reports $\tau_{[0,100)}$. For all new construction, FAR is about 12% lower and dwelling units per acre about 16% lower immediately across the boundary on the more-stringent side. Among multifamily projects, FAR is about 14% lower and dwelling units per acre about 18% lower. All four differences are statistically distinguishable from zero at the 10% level or better. The similar results for FAR and dwelling units per acre indicate that the difference is present in both floor space and the number of homes placed on a parcel.

As a falsification test, I repeat the same comparison at artificial cutoffs 1000ft inside either side of the true ward boundary. These locations do not mark a change in aldermanic authority. Online Appendix Figure D.1 shows no corresponding break: none of the eight nearest-band placebo estimates is statistically distinguishable from zero. The contrast with the true boundary makes it less likely that the main estimates reflect a general spatial pattern within wards. Online Appendix D presents the placebo figures along with continuity tests for fixed location characteristics, restrictions based on boundary geometry, and donut checks.

4.3 Evidence on Rents and Sale Prices

The permit and density results indicate that more stringent aldermen reduce development activity and the density of completed housing. The model in 3, indicates that this should feed into prices, which is the most directly policy-relevant outcome given Chicago’s current

rent and price growth. For rents and sales, I estimate

$$\log(Y_{ist}) = \sum_{b \in \mathcal{B}} \tau_b \mathbf{1}\{d_{is} \in b\} + X_i' \gamma + \alpha_{st} + \varepsilon_{ist}, \quad (5)$$

where Y_{ist} is the real listed rent or real sale price for observation i near boundary segment s in period t . As in the density analysis, $\mathcal{B}$ contains ten 100ft distance bands and the band from -100 to 0 ft is omitted. The coefficient $\tau_{[0,100)}$ therefore compares observations in the two bands immediately across the boundary. The fixed effects compare observations near the same boundary segment in the same month for rents and the same quarter for sales. The controls include unit or property characteristics and distances to nearby schools, parks, major roads, CTA stops, and Lake Michigan. Standard errors are clustered by ward pair.

Figure 4 plots these distance-band estimates.

Listed rents are 1.7% higher in the two bands closest to the boundary, although the estimate is imprecise. Home sale prices are 4.6% higher in the two bands closest to the boundary. I treat the sales result as suggestive because transactions are less frequent near any particular boundary and their composition is harder to hold fixed. Online Appendix E shows that the result disappears at artificial cutoffs inside either ward and is similar when I restrict the sample to straight boundaries or exclude observations immediately next to the boundary.

5 Discussion

5.1 Interpretation of Estimates

Together, the boundary and redistricting results show lower completed density and fewer recorded permits under more stringent aldermen. The rent and sale-price comparisons suggest that these supply differences may also be reflected in local housing costs, an important concern as Chicago rents continue to rise rapidly, outpacing much of the country (Davis,

2026). Aldermanic privilege creates sharp changes in the regulatory environment at ward boundaries. The uncertainty and inconsistency this creates make the development process slower and less predictable, and likely deters some projects from ever breaking ground.

Khan (2021) studies project size among developments seeking a rezoning. Developers receive smaller increases in allowed density near ward boundaries where aldermen cannot internalize the benefits of development. My permitting and density estimates extend this result to realized development: completed buildings are less dense under more stringent aldermen.

The Fern Hill episode described in Section 2 illustrates why this margin may matter. The approved project was smaller than originally proposed, while four years of meetings and negotiation show the costs that may cause other developers to walk away before filing. The time-to-build framework in Section 3 formalizes this idea: additional delay reduces the scale of projects that proceed and can make marginal projects unviable. While I cannot observe projects that were deterred before coming up for a vote in the city council, my permit and density results show that the projects that do proceed are less dense under more stringent aldermen, which is consistent with the idea that some projects are deterred entirely.

5.2 Policy Implications

These results speak to current policy proposals to limit aldermanic influence in land use. They suggest that reform must address both formal approval authority and the informal influence aldermen exercise over permitting and project design.

The results also show how informal rules allow individual political actors to shape citywide housing policy. Although aldermanic privilege is unusually powerful in Chicago, the practice of deferring to the local council member on land-use decisions appears in other large cities, including New York, Philadelphia, and Los Angeles (The Pew Charitable Trusts, 2015; Ryu, 2020; Anbinder, 2025; New York City Charter Revision Commission, 2025). Similar forms of council-member deference in other cities suggest that the mechanism may extend beyond

Chicago.

Centralizing land use authority by shifting rezoning and permitting authority from individual aldermen to citywide bodies would let decision-makers internalize the full benefits of housing production, though at the cost of sacrificing some local knowledge. Expanding by-right development so that code-compliant projects proceed automatically without aldermanic review would remove the discretionary layer while preserving community preferences as expressed in the zoning code. But as Section 2 discusses, aldermen retain unilateral power to downzone parcels preemptively, which means they can often undo by-right protections before a developer applies. Another oft-discussed reform is the creation of a city charter, which would allow all rules to be codified, which could limit discretionary power relative to the current system of unwritten norms and traditions (McClintock, 2025). Reform likely needs to address both statutory and informal channels to be successful.

6 Conclusion

This paper studies how informal regulations and the discretion of individual political actors can influence housing supply within a city. I focus on Chicago’s aldermanic privilege, the informal power of each of the city’s 50 aldermen to unilaterally block or approve development in their ward, and show that it has measurable effects on development activity in the city.

Using permit processing times for projects where aldermen are most likely to matter, I construct aldermanic stringency scores that isolate the alderman-specific component of regulatory delay after removing variation attributable to ward characteristics. Using 2015 ward redistricting as identifying variation, I find that reassignment toward greater stringency reduces the annual number of high-discretion permits recorded by the city by about 12% in the five years following the remap. A boundary comparison shows that new construction is less dense on the more stringent side of ward boundaries, with multifamily FAR about 14% lower and DUPAC about 18% lower immediately across the boundary. Home sales see a large

4.6% increase in prices immediately across the boundary, and listed rents see a suggestive increase of about 1.7%, although the estimate is imprecise. The supply-side designs provide causal evidence that variation in informal discretionary authority, beyond the formal rules on the books, affects housing production. My results suggest that reforming the land-use policy in Chicago could affect housing production, but that effective reform would require addressing the power of individual discretion in the process along with the formal rules that have been the subject of most prior research.

References

- Achong, Ian.** 2025. “Shortened Version Of Old Town Canvas Approved By Alderman.” *Chicago YIMBY*.
- Anbinder, Jacob.** 2025. “New York NIMBYs Turn Against Democracy.” *The Atlantic*.
- Bayer, Patrick, Fernando Ferreira, and Robert McMillan.** 2007. “A Unified Framework for Measuring Preferences for Schools and Neighborhoods.” *Journal of Political Economy*, 115(4): 588–638.
- Bloom, Nicholas.** 2009. “The Impact of Uncertainty Shocks.” *Econometrica*, 77(3): 623–685.
- Bordeu, Olivia.** 2025. “Commuting Infrastructure in Fragmented Cities.” *Job Market Paper*.
- Chase, Brett.** 2023. “Chicago wrongly limited affordable housing with aldermanic prerogative, HUD says.” *Chicago Sun Times*.
- City of Chicago.** 2019. “Sixty-day Report on Implementation of Executive Order No. 2019-2.”
- Cunningham, Christopher R.** 2006. “House price uncertainty, timing of development, and vacant land prices: Evidence for real options in Seattle.” *Journal of Urban Economics*, 59(1): 1–31.
- Davis, Miranda.** 2026. “Chicago’s surging rents dent its cheap big city image.” *Bloomberg*.
- Duranton, Gilles, and Diego Puga.** 2023. “Urban Growth and Its Aggregate Implications.” *Econometrica*, 91(6): 2219–2259.
- Einhorn, R. L.** 1991. *Property Rules: Political Economy in Chicago, 1833-1872*. University of Chicago Press.

- Einstein, Katherine Levine, David M. Glick, and Maxwell Palmer.** 2019. *Neighborhood Defenders: Participatory Politics and America's Housing Crisis*. Cambridge University Press.
- Fischel, William A.** 2009. *The Homevoter Hypothesis: How Home Values Influence Local Government Taxation, School Finance, and Land-Use Policies*. Harvard University Press.
- Freemark, Yonah.** 2020. "Upzoning Chicago: Impacts of a Zoning Reform on Property Values and Housing Construction." *Urban Affairs Review*, 56(3): 758–789.
- Gallun, Alby.** 2019. "Ad hoc zoning, Chicago Style: How aldermen can rewrite the rules." *Crain's Chicago Business*.
- Giangreco, Leigh.** 2024. "Game of Zones." *Chicago Mag*.
- Glaeser, Edward L., Joseph Gyourko, and Raven Saks.** 2005. "Why Is Manhattan So Expensive? Regulation and the Rise in Housing Prices." *The Journal of Law and Economics*, 48(2): 331–369.
- Gyourko, Joseph, Jonathan S. Hartley, and Jacob Krimmel.** 2021. "The local residential land use regulatory environment across U.S. housing markets: Evidence from a new Wharton index." *Journal of Urban Economics*, 124: 103337.
- Hilber, Christian A.L., and Frédéric Robert-Nicoud.** 2013. "On the origins of land use regulations: Theory and evidence from US metro areas." *Journal of Urban Economics*, 75: 29–43.
- Hsieh, Chang-Tai, and Enrico Moretti.** 2019. "Housing Constraints and Spatial Misallocation." *American Economic Journal: Macroeconomics*, 11(2): 1–39.
- Keefe, Alex.** 2013. "Pregnancy Tests? Pigeon Poo? What Chicago Aldermen Really Do." *WBEZ Chicago*.

- Khan, Asad R.** 2021. “Decentralized Land-Use Regulation with Agglomeration Spillovers: Evidence from Aldermanic Privilege in Chicago.” *Job Market Paper*.
- Kline, Patrick, Evan K. Rose, and Christopher R. Walters.** 2022. “Systemic Discrimination Among Large U.S. Employers.” *The Quarterly Journal of Economics*, 137(4): 1963–2036.
- Kline, Patrick, Evan K. Rose, and Christopher R. Walters.** 2024. “A Discrimination Report Card.” *American Economic Review*, 114(8): 2472–2525.
- Kulka, Amrita, Aradhya Sood, and Nicholas Chiumenti.** 2026. “Under the (Neighbor)Hood: Understanding Interactions Among Zoning Regulations.” *The Review of Economics and Statistics*.
- Kydland, Finn E., and Edward C. Prescott.** 1982. “Time to Build and Aggregate Fluctuations.” *Econometrica*, 50(6): 1345.
- Lyons, Ronan C., and Éamonn Sweeney.** 2025. “Time to build: Rules-based planning and construction project duration in Dublin.” *Journal of Housing Economics*, 70: 102089.
- Mast, Evan.** 2024. “Warding off Development: Local Control, Housing Supply, and NIM-BYs.” *Review of Economics and Statistics*, 106(3): 671–680.
- Mayer, Christopher J, and C.Tsuriel Somerville.** 2000*a*. “Land use regulation and new construction.” *Regional Science and Urban Economics*, 30(6): 639–662.
- Mayer, Christopher J., and C.Tsuriel Somerville.** 2000*b*. “Residential Construction: Using the Urban Growth Model to Estimate Housing Supply.” *Journal of Urban Economics*, 48(1): 85–109.
- Mayor’s Press Office.** 2019. “Mayor Lightfoot Signs First Executive Order to Limit Aldermanic Prerogative.” Press Release.

- McClintock, Grant.** 2025. “What Is a City Charter, and How Could Having One Help Chicago?” *The Civic Federation*.
- Metropolitan Planning Council.** 2019. “Unfettered Aldermanic Prerogative.”
- Monarrez, Tomás, and David Schönholzer.** 2023. “Dividing Lines: Racial Segregation across Local Government Boundaries.” *Journal of Economic Literature*, 61(3): 863–887.
- New York City Charter Revision Commission.** 2025. “Charter Revision Commission Adopted Final Report.” City of New York.
- Oh, Hyunseung, Choongryul Yang, and Chamna Yoon.** 2024. “Land development and frictions to housing supply over the business cycle.” *Finance and Economics Discussion Series*, , (2024-010): 1–41.
- Ortalo-Magné, François, and Andrea Prat.** 2014. “On the Political Economy of Urban Growth: Homeownership versus Affordability.” *American Economic Journal: Microeconomics*, 6(1): 154–181.
- Paciorek, Andrew.** 2013. “Supply constraints and housing market dynamics.” *Journal of Urban Economics*, 77: 11–26.
- Ryu, David E.** 2020. “Limiting Unilateral Influence in Development Decisions.” Los Angeles City Council.
- Saiz, Albert.** 2010. “The Geographic Determinants of Housing Supply*.” *Quarterly Journal of Economics*, 125(3): 1253–1296.
- Schutz, Paris.** 2019. “Lightfoot, Aldermen Battle Over Aldermanic Prerogative.” *WTTW News*.
- Shriver Center on Poverty Law.** 2019. “A City Fragmented.”

- Soltas, Evan, and Jonathan Gruber.** 2026. “How Costly Is Permitting in Housing Development?” Working Paper.
- Soltas, Evan J.** 2024. “The Price of Inclusion: Evidence from Housing Developer Behavior.” *Review of Economics and Statistics*, 106(6): 1588–1606.
- Spielman, Fran.** 2019a. “Aldermen to be stripped of absolute power over licenses and permits, not zoning.” *Chicago Sun Times*.
- Spielman, Fran.** 2019b. “Lightfoot tells Burke to forget Council Wars 2: ‘That’s not going to happen’.” *Chicago Sun Times*.
- Thale, Christopher.** 2005. “Aldermanic Privilege.”
- The Pew Charitable Trusts.** 2015. “Philadelphia’s Councilmanic Prerogative.” Report.
- TRD Staff.** 2026. “Judge Tosses Lawsuit Challenging Old Town Apartment Tower Proposal.” *The Real Deal*.
- Turner, Matthew, Andrew Haughwout, and Wilbert Van Der Klaauw.** 2014. “Land Use Regulation and Welfare.” *Econometrica*, 82(4): 1341–1403.
- Zhang, Yue.** 2011. “Boundaries of Power: Politics of Urban Preservation in Two Chicago Neighborhoods.” *Urban Affairs Review*, 47(4): 511–540.

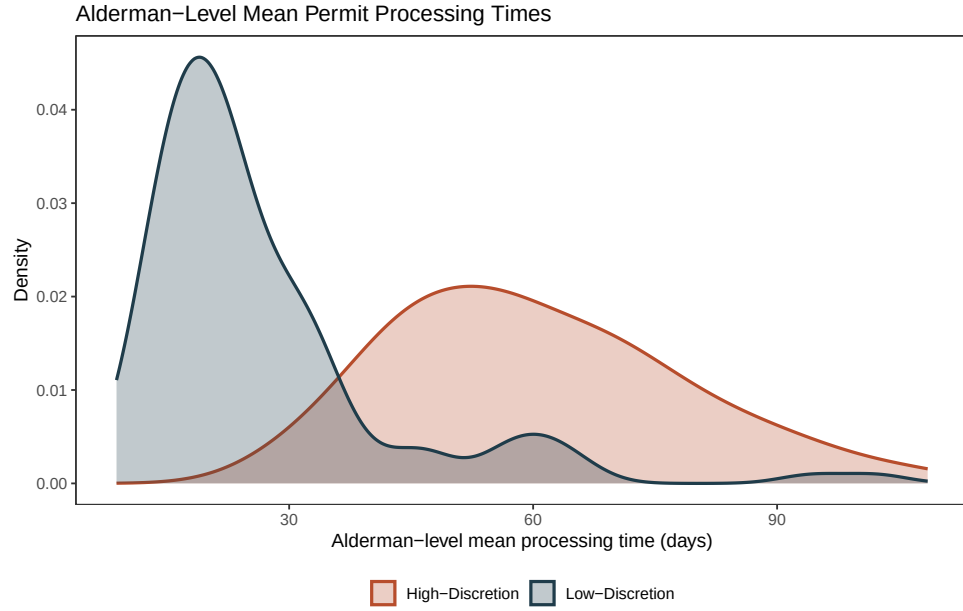


Figure 1: Alderman-Level Mean Processing Time for High- and Low-Discretion Permits

Notes: Figure plots the distribution of alderman-level mean permit processing time separately for high- and low-discretion permit groups, using permit records through December 2022. The high- and low-discretion permit groups are defined in Section 2.2. Processing time is days from application to issuance.

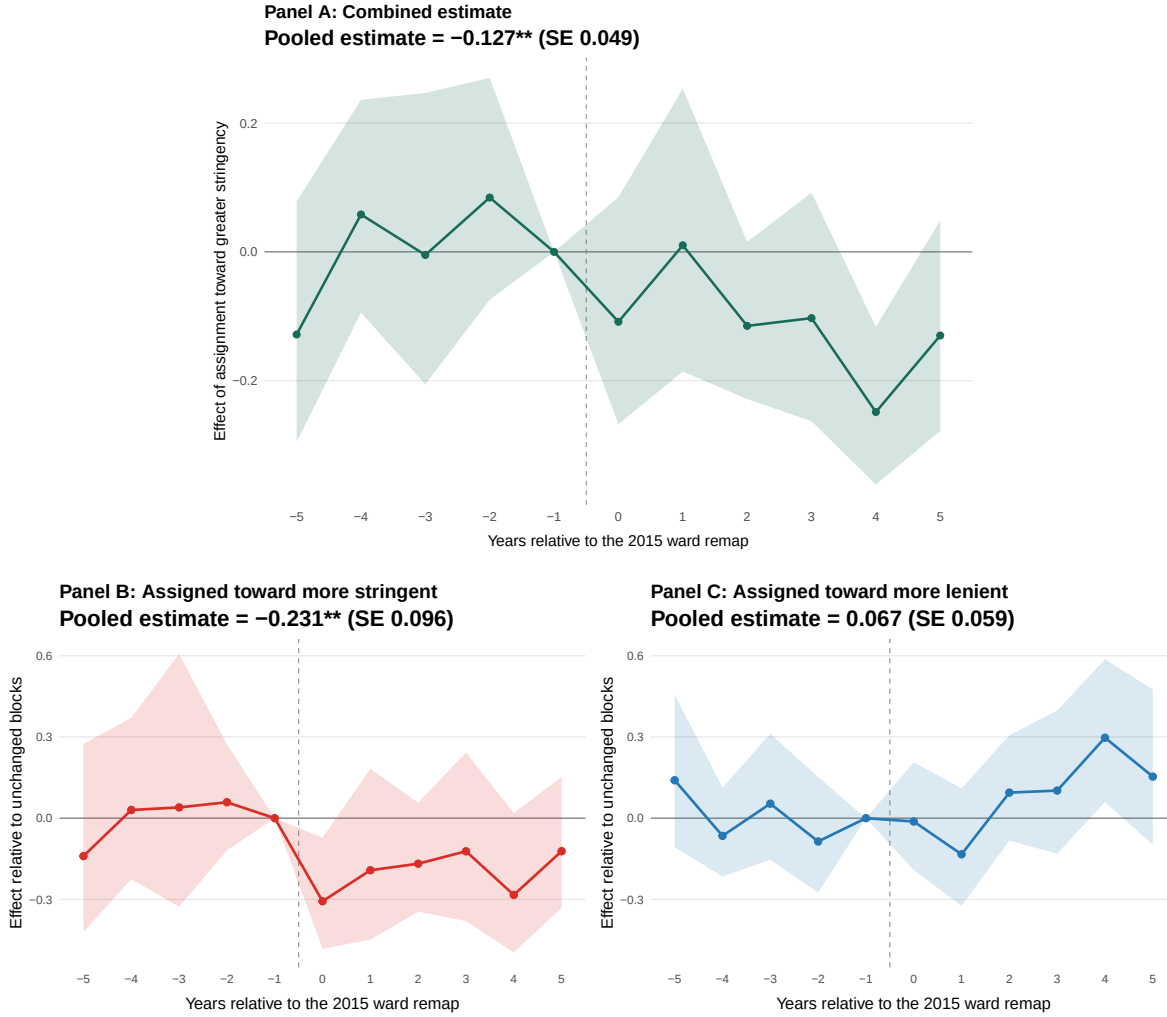


Figure 2: Permit Activity After the 2015 Ward Redistricting

Notes: Block-year Poisson pseudo-maximum likelihood event study for calendar years 2010–2020. The outcome is the number of high-discretion permits per block, grouped by application year. The sample includes blocks within 500ft of ward boundaries. It retains blocks whose 2014 origin- and destination-ward incumbents remained in office when the new map took effect. Blocks must have at least one high-discretion permit during years -5 through -1 . Blocks are classified according to whether the 2015 map assigned them toward an alderman who was more or less stringent than the origin-ward alderman; unchanged blocks are the comparison group. Stringency scores are estimated from permits filed between 2006 and 2014. The model includes block and border-pair $\times$ year fixed effects. Year -1 is omitted. Panel A uses a reassignment variable equal to one for blocks assigned toward greater stringency, minus one for blocks assigned toward greater leniency, and zero for unchanged blocks. Panels B and C estimate the two reassignment directions separately relative to unchanged blocks. Each point reports the corresponding event-time coefficient. Shaded areas are 95% confidence intervals based on standard errors clustered by ward pair. The pooled coefficients are -0.127 (SE = 0.049) in Panel A, -0.231 (SE = 0.096) in Panel B, and 0.067 (SE = 0.059) in Panel C. The Panel A pre-trend test has $p = 0.394$.

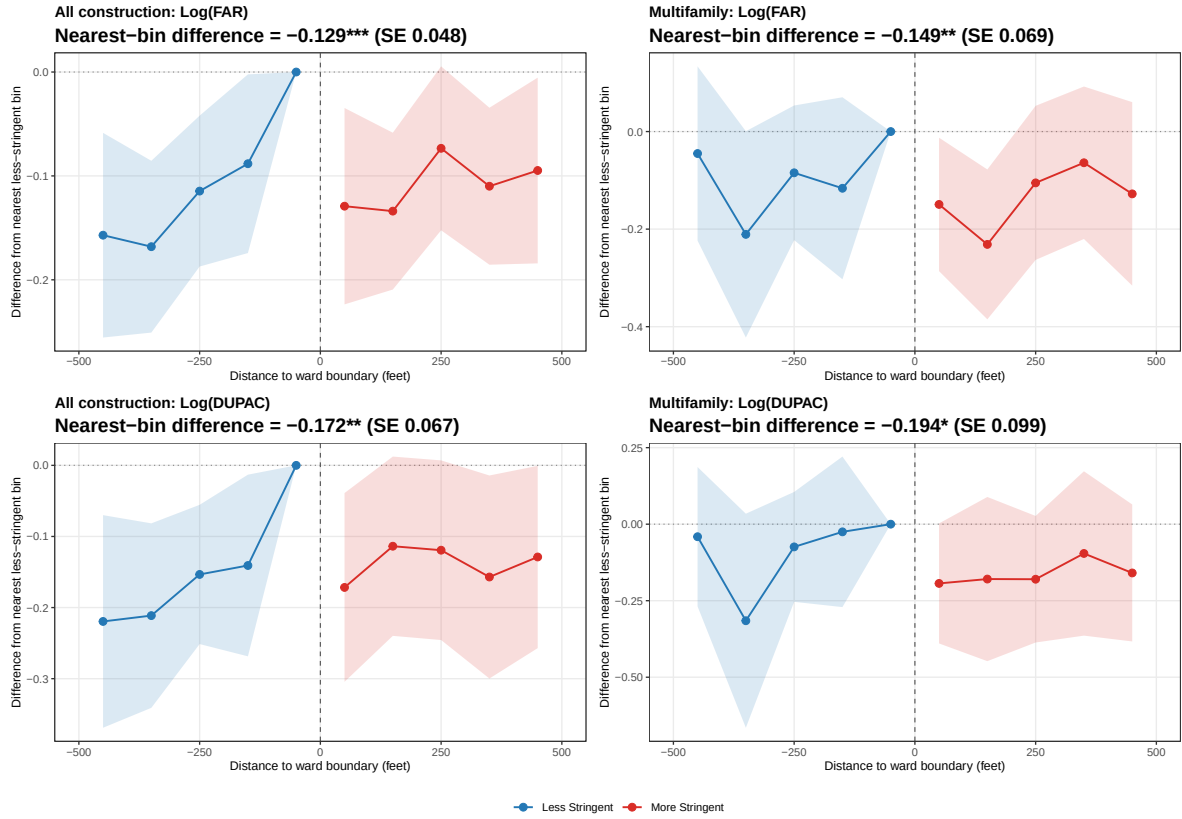


Figure 3: Development Density at Ward Boundaries

Notes: Left column: all construction; right column: multifamily. Top row: Log(FAR); bottom row: Log(DUPAC). Samples include new construction within 500ft of ward boundaries. Each point is the coefficient for a 100ft distance band from Equation (4). The nearest band on the less-stringent side, from -100 to 0ft, is omitted and normalized to zero. Subtitles report the coefficient for the nearest band on the more-stringent side, from 0 to 100ft. Shaded areas are 95% confidence intervals based on standard errors clustered by ward pair. Negative distance indicates the less-stringent side and positive distance the more-stringent side.

Listed rents and home sale prices at ward boundaries

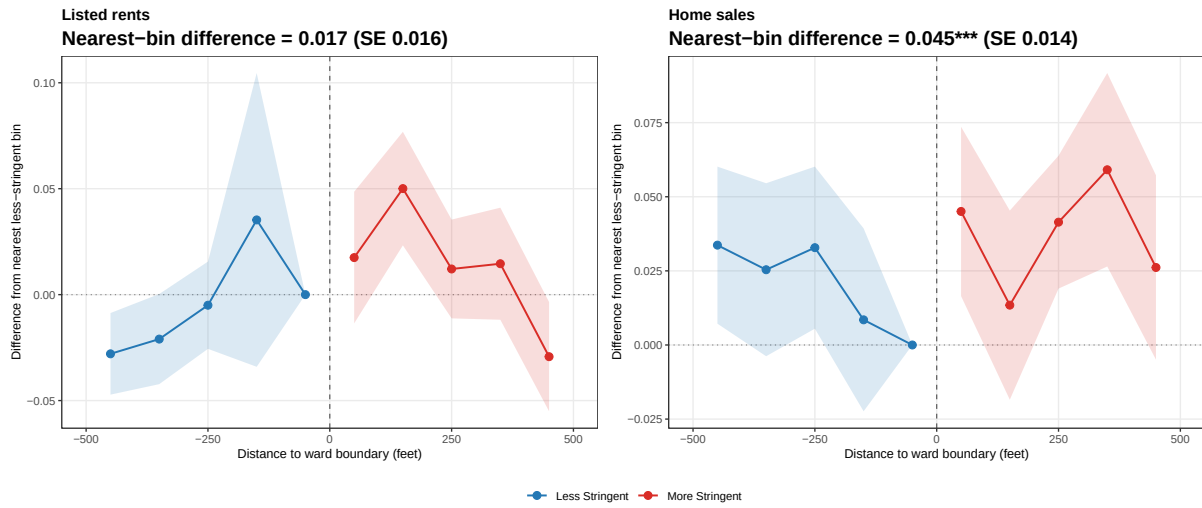


Figure 4: Listed Rents and Home Sale Prices at Ward Boundaries

Notes: Panel A uses listed-rent floorplan-month observations from 2014–2022 and segment-by-month fixed effects. Panel B uses filtered residential transactions from 2006–2022 and segment-by-quarter fixed effects. Both panels include housing characteristics, distances to nearby amenities, and the fixed effects described in the text. Each point is the estimated difference between a 100ft distance band and the band immediately inside the less-stringent side, which is normalized to zero. Shaded areas are 95% confidence intervals. Subtitles report the comparison between the two bands adjacent to the boundary. Standard errors are clustered by ward pair. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 1: Summary Statistics for the Density Analysis Sample

	All New Construction	Multifamily
Average FAR	1.22	2.24
Average Units	6.71	26.28
Average DUPAC	29.47	69.91
Median Distance to Boundary (ft)	253	227
Ward/Segment Counts	124/849	87/415
N	3,692	822

Notes: Samples include new residential construction from 2006–2022 within 500ft of ward boundaries and use the same projects for the FAR and DUPAC estimates. Multifamily status follows the final project classification used in the density analysis.